Preformed Line Products Co.

HQ: Mayfield Village, OH

Founded: 1947

Market Capitalization: $1,430.37

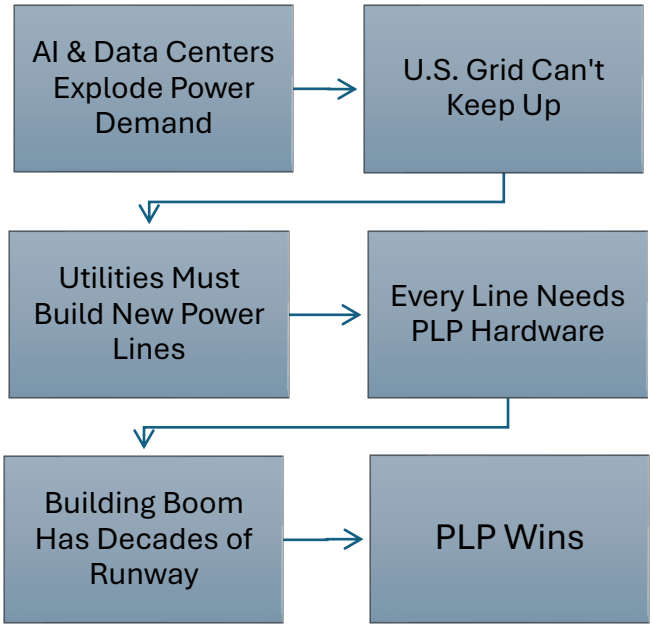
Price: $283.00

Ticker/Exchange: PLPC | NASDAQ

Analyst: Will Murphy



Thesis Flow Chart



Investment Thesis

I recommend buying PLPC because the company is the dominant, entrenched hardware supplier to an electric grid that must undergo a trillion-dollar upgrade cycle driven by AI data centers and aging infrastructure — and its specification lock-in moat, clean balance sheet, and global manufacturing expansion position it to compound that demand into long-term shareholder value.

Business Overview / Business Model

Preformed Line Products makes the hardware that holds cables and wires together on power lines and communication networks. Think about the power lines you see running along highways, or the fiber optic cables buried underground bringing internet to homes. Someone must manufacture the physical clamps, connectors, brackets, and protective casings that hold all that cable in place, splice it together, and protect it from weather. That's Preformed Line Products.

Core Business Verticals

Energy – 71% of 2025 Revenue

Preformed Line Products' largest segment, Energy, supplies the hardware that holds electric grids together across four regions – the U.S., the Americas, Europe/Middle East/Africa (EMEA), and Asia-Pacific. Their products serve three distinct parts of the grid: **Transmission,** where clamps, armor rods, vibration dampers, and spacers anchor and protect high-voltage cables on steel towers.



Substations, where connectors and mounting hardware facilitate the step-down of voltage to safer levels; and **Distribution**, where smaller-scale versions of the same hardware sit on the neighborhood poles that deliver power to homes and businesses.

Communications – 22% of 2025 Revenue



PLPs communications segment makes the physical hardware that holds, protects, and connects the cables that carry internet, voice, and data signals across wireline networks. There's currently a nationwide shift from copper telephone wire to fiber optic – when a company like AT%T or Verizon buries fiber underground to bring high-speed internet to a neighborhood, every point where two cables connect needs a weatherproof seal to keep out moisture and dirt. PLP makes those seals, called fiber optic closures, along with the brackets and support hardware that holds the cables in place. Copper side of business is shrinking as fiber replaces it.

Special Industries – 7% of 2025 Revenue

PLP's Special Industries segment serves customers outside of traditional utilities and telecom, including agriculture, solar and EV charging infrastructure, and general industrial and construction projects. The segment also includes robotics and drone-based inspection services, where PLP sends robotic systems to install hardware and uses drones to assess damage on power lines and poles.

How they make money

PLP makes money the same way hardware store makes money – they manufacture a physical product and sell it to whoever is building or maintaining infrastructure. PLP doesn't always sell directly to utilities and telecom companies — a meaningful portion of revenue flows through large electrical distributors like Wesco International and Graybar Electric, who act as intermediaries between PLP and the end customer. One customer accounts for 11.1% of consolidated revenue, which is worth monitoring as a concentration risk. PLP's pricing power comes directly from its specification moat — because utilities have written PLP products into their engineering standards, PLP can raise prices to offset rising costs like the 2025 steel and aluminum tariffs without losing the customer. That ability to pass costs through, even with a lag of one to two quarters, is what protects margins over the long run.

Region	% of 2025 Sales	Primary Growth Driver
PLP-USA	47%	High volume in energy and communications; price increases.
EMEA – Europe/Middle East/Africa	20%	Strong demand for energy products; new manufacturing in Poland/Spain.
Asia-Pacific	17.00%	Growth in special industries and energy product volume.
The Americas	16.00%	Bolstered by the 2025 acquisition of JAP Telecom and energy sales.



Customers

We can split PLPs customers into two segments. First being PLP's largest customer base, **electric utilities**, these are the companies that own and operate the power grid. This includes investor-owned utilities like Duke Energy and Pacific Gas & Electric, municipal utilities run by local governments, and rural electric cooperatives that serve farming communities. These customers are famously conservative and risk-averse, their entire business depends on keeping the lights on, so they don't switch suppliers casually. Once PLP's products are written into a utility's engineering standards, that utility becomes a long-term recurring customer by default. This is how PLP makes money in the energy segment - not by winning a new sale every year, but by being the specified, approved supplier that utilities automatically reorder from whenever they build, maintain, or upgrade their grid.

Second customer segment is **communication.** PLP's communications customers are the telecom companies building and maintaining fiber optic and broadband networks, major carriers like AT&T and Verizon, cable television operators, and internet service providers. Unlike utilities, these customers operate on shorter cycles and are more willing to shop around on price, so PLP's grip on this customer base is less structural than in energy. Revenue here is driven by the pace of fiber buildout spending — when telecom companies are actively laying cable, PLP sells hardware. When they pull back, as happened in 2024, PLP feels it quickly.

Company History

Organized in 1947 by investor Thomas F. Peterson to produce his patented preformed spiral armor rod for reinforcing overhead high- tension cables. The company is built off this spiral/helical technology and has been leading advancements. PLP since 1979 has operated one of the most sophisticated Research and Engineering facilities in the U.S. at its Mayfield Village headquarters, allowing it to maintain their reputation for quality, making it hard for competitors to match. That original spiral wire technology is still the foundation of PLP's most important products 75 years later - and it's a key reason competitors can't easily replicate what PLP makes.

Key Management & Leadership

The leadership team includes Rob Ruhlman Executive Chairman – has run the company for decades and owns 25% of the business. Ryan Ruhlman President – keeping family culture in tack, and Andrew S. Klaus CEO – was previously CFO.

TOP 5 INSIDERS		
RUHLMAN ROBERT G	25.03	1,227.05
RUHLMAN RANDALL M	12.40	607.64
MCKENNA DENNIS FREDRICK	0.50	24.54
KLAUS ANDREW S	0.40	19.50
VACCARIELLO CAROLINE SAYLOR	0.39	19.24

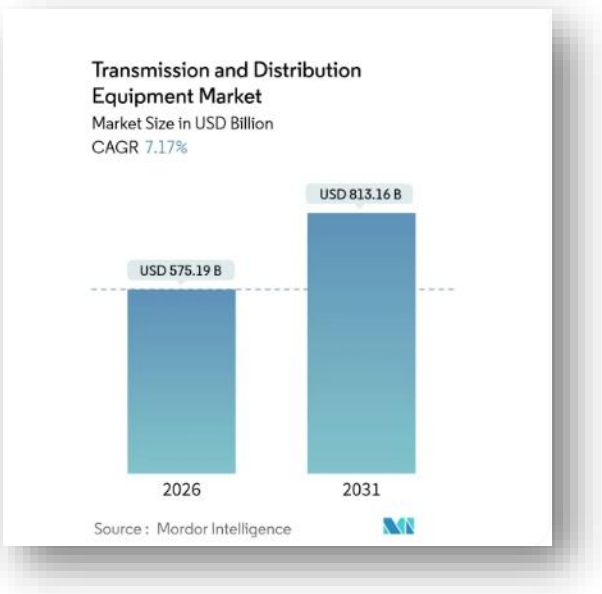
Analyst ratings

The only analyst coverage I could find on PLPC comes from Freedom Broker, who issued a buy recommendation with a $275 price target. I was unable to determine whether Freedom Broker has any investment banking relationship with PLP that could create a conflict of interest, or whether this is a sell-side or buy-side firm. Given the limited coverage - one analyst versus the 25 that cover MTDR - I weighed this rating lightly in my

analysis and relied primarily on my own fundamental research.

Section 2: Industry Analysis

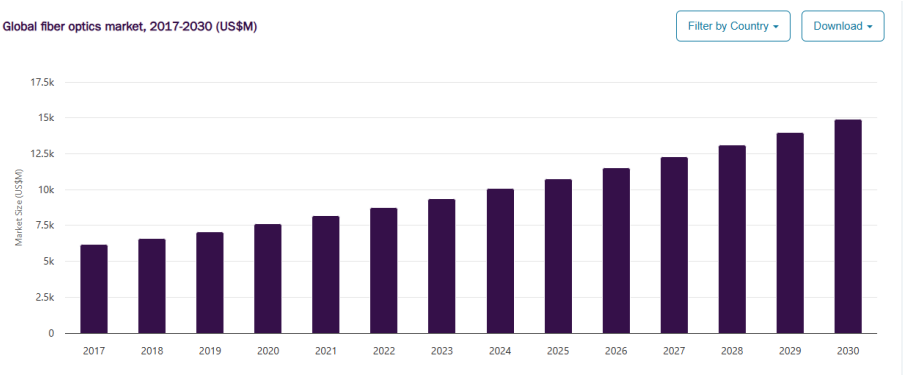
PLP operates across three distinct industries, each corresponding to one of its business verticals.



Energy - Electric Power Infrastructure

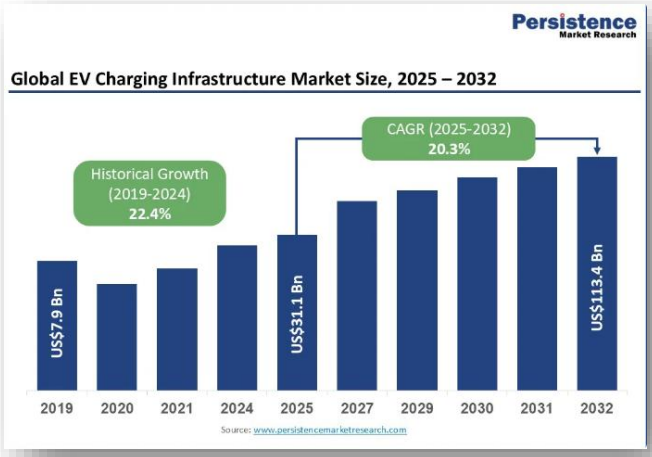
The global T&D (Transmission & Distribution) equipment market is estimated at around $500 billion in 2025 and is expected to grow to $813 billion by 2031, at a CAGR of roughly 7% (Mordor Intelligence, 2025). Growth is being driven by again infrastructure where roughly 70% of the US power grid must be replace, new transmission lines needed to convert renewable energy sources, and surging electrical demand from data centers. Investment in U.S. electricity infrastructure alone is projected at $1.4 trillion from 2025 to 2030. The market is moderately concentrated, with ABB, Siemens Energy, Schneider Electric, Hitachi Energy, and GE Vernova together holding roughly 43% share, though PLP competes in the hardware accessories niche, meaning clamps, dampers, and armor rods, which is more fragmented. On cyclicality, this is one of the most defensible industries in the market. Utilities remain stable during recessions because consumers prioritize paying their electricity bills, and companies maintaining utility infrastructure tend to hold up well even during bad times.

Communications - Wireline Network Infrastructure



This industry covers the physical hardware used to build and maintain wireline networks, with the core growth story being the global shift from copper to fiber optic cable. The global fiber optics market was estimated around $10.8 billion in 2025 and is projected to nearly double by 2033, growing at a 6.6% CAGR (Grand View Research, 2025). Growth is driven by telecom companies replacing aging copper networks with fiber to meet demand from cloud computing, streaming, and remote work, accelerated by government broadband programs like the U.S. BEAD imitative that incentivizes funding fiber optic buildouts in hard to reach areas – which is significant for PLP since every mile of fiber that gets buried under the project needs equipment PLP makes. The top five manufacturers control around 45% of global revenue, making this a moderately fragmented market. PLP competes in the closures and hardware accessories niche, which is more fragmented. On Cyclicality, wireline infrastructure spending is resilient because it is driven by long-term network buildout commitments, though telecom companies can delay timelines during financial crisis.

Special Industries - Renewable Energy and EV Infrastructure



This industry convers the construction of solar arrays and EV charging stations. It is PLP's smallest vertical but the fastest growing. The global EV charging infrastructure market is projected to grow from $31 billion in 2025 to $113 billion by 2032, a CAGR of over 20% (persistencemarketresearch, 2025). Growth is driven by government electrification mandates, declining solar and battery costs, and automaker commitments to EVs. The market is moderately fragmented, with numerous players competing for share and no dominant hardware provider at scale yet. This segment carries the most cyclical risk of the three. Unlike utilities that must maintain exiting grids regardless of economic conditions investment in new renewable and EV infrastructure can slow if government incentives – like federal requirements preventing the NEVI program with stalled charging stations projects – or corporate sustainability budget get cut during a downturn in the economy. PLPs exposure is limited to 7% of revenue.

Section 3: Competitive Position

Market Position

PLP is a leader in helical-formed wire products and holds what the industry calls "universal acceptance" – meaning their products are the recognized standard across utilities worldwide. The distinction worth making is that PLP operates as a technical specifier rather than a commodity manufacturer. This means customers don't just buy PLP's products because they're cheap – they buy them because PLP's engineers helped design the standard that the product has to meet. This matters because it fundamentally changes the competitive dynamic. A commodity manufacturer competes on price and can be replaced by anyone who makes a cheaper version of the same thing. A technical specifier is embedded in the customer's own engineering standards, which makes replacement a years-long process.

Key competitors

Primary competitors include Hubbell, CommScope, and Valmont Industries. Hubbell is the most direct energy segment competitor – larger at $26.5 billion market capitalization, more profitable, and increase focus on higher-growth markets like data centers and digital grid infrastructure. CommScope is the dominant player in the communications hardware, with a much larger R&D budget and broader product portfolio than PLP. Valmont competes primarily in the structural side of the business – poles, towers, and support structures.

The distinction PLP has is how it competes against all three. Rather than undercutting on price, PLP competes on engineering pedigree and premium quality. This matters because in the utility market, a cheaper part that fails can cause an outage costing millions, so engineers are incentivized to specify the product they trust, not the cheapest one available. This gives PLP pricing power that a commodity manufacturer doesn't have.

Competitive Advantage

Specification Lock-In is PLP's most powerful advantage. Once an electric utility company like Oncor, Duke Energy, or Pacific Gas & Electric approves a PLP product and writes it into their engineering standards, PLP becomes a default choice or gets "Lock-in" for every repair and upgrade on that network for decades. A less obvious but equally important advantage is PLP's in-house Machine Design Group builds its own proprietary manufacturing equipment rather than buying it from outside suppliers. This means competitors cannot simply

purchase the same machines and copy PLP's products - the manufacturing process itself is a barrier to entry. It also gives PLP tighter control over quality and costs, since they aren't dependent on equipment suppliers who might serve their competitors too.

Section 4: Financial Analysis

Revenue Trends

Metric	PLPC	Hubbell (HUBB)	CommScope (COMM)	Valmont (VMI)
TTM Revenue	$669M	$3.8B	$5.3B	$3.5B
Revenue Growth (YoY)	13.0%	~2.0%	~32.0%	~3.0%
5-Year Rev CAGR	~7.5%	~5.0%	N/M	~4.0%
Backlog (latest)	$232.8M	N/D	N/D	N/D

PLP's revenue story over the past several years follows a clear cycle. Sales grew steadily from $466.5 million in FY2020 to a peak of $669.7 million in FY2023, driven by strong utility spending and the early stages of the fiber buildout. FY2024 then saw a sharp reversal - revenue fell 11% to $593.7 million - primarily because U.S. distributors had overbought during the post-COVID supply chain surge and were working through excess inventory rather than placing new orders. That destocking cycle appears to have run its course. In FY2025, revenue rebounded 13% to $669.3 million, nearly recovering the prior peak.

A useful way to gauge where revenue is heading next is the company's backlog - the total value of orders customers have already placed but PLP hasn't yet shipped. A growing backlog means customers are ordering faster than PLP is delivering, which signals that future revenue is already partially locked in. PLP's backlog grew 22% to $232.8 million at year-end 2025, the strongest level in several years, suggesting the demand pipeline heading into 2026 is healthy and the destocking headwind that hurt 2024 has fully reversed.

Profitability

The profitability picture is improving but still recovering. FY2025 GAAP net income was $35.3 million, which includes a one-time $11.7 million pension termination charge that distorted the reported number. Stripping that out, adjusted net income was $43.0 million, with adjusted diluted EPS of $8.70 - a 16% increase over the prior year. GAAP EPS of $7.14 actually came in below FY2024's $7.50, which can be misleading without understanding the pension item. The underlying business is improving, but margins remain below the peak levels of FY2023, when operating margin hit 12.67%. The ongoing concerns are tariff costs on steel and aluminum and the lag in repricing – meaning when steel and aluminum prices increase PLP can't immediately reprice since their customers – utility and telecom companies operate on long contract cycles – which means the higher cost from tariffs hit margins immediately while pricing recovery takes time to catch up with the higher cost.

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Net Sales ($M)	517.4	637.0	669.7	593.7	669.3
Gross Profit ($M)	166.2	215.2	234.8	189.8	208.8
Operating Income ($M)	47.5	69.4	84.2	50.8	50.8
Net Income ($M)	35.7	54.4	63.3	37.1	35.3
PROFITABILITY MARGINS					
Gross Margin %	32.1%	33.8%	35.1%	32.0%	31.2%
Operating Margin %	9.2%	10.9%	12.6%	8.6%	7.6%
Net Margin %	6.9%	8.5%	9.4%	6.3%	5.3%

Balance Sheet

PLP's balance sheet is one of its clearest strengths. The company ended FY2025 with $83.4 million in cash, up significantly from $57.2 million a year earlier, while continuing to reduce debt. In FY2024, PLP paid down $33.7 million of total debt using cash generated from operations. The result is a company that holds more cash than debt, carries a debt-to-equity ratio of just 0.10x, and has a current ratio of 3.09x, meaning current assets are three times larger than short-term liabilities. There is no financial distress risk. The balance sheet gives PLP the flexibility to fund its Poland and Spain facility expansions, pursue bolt-on acquisitions, and return cash to shareholders, all simultaneously and without needing to borrow.

Metric	PLPC	Hubbell (HUBB)	CommScope (COMM)	Valmont (VMI)
Debt / Equity	0.10x	0.64x	N/M*	0.46x
Current Ratio	3.09x	1.72x	2.18x	2.35x
Net Cash / (Debt)	+$44M	-$1.7B	-$6.7B	-$600M
Op. Cash Flow (TTM)	$75.6M	~$700M	~$1.3B	$495M
FCF (TTM)	$42.2M	~$500M	~$1.5B	$415M
Payout Ratio	~11%	~30%	None	~20%

Cash Flow

PLP consistently generates positive operating cash flow, and that cash flow meaningfully exceeds reported net income — a sign of high earnings quality. The gap exists because depreciation and efficient working capital management add cash that doesn't show up in net income. In 2025, operating cash flow is being directed toward two priorities: funding the global facility expansion program, particularly the new Poland manufacturing facility coming online in late 2026 and selectively acquiring smaller companies that expand PLP's product portfolio or geographic reach, as demonstrated by the JAP Telecom acquisition in Q2 2025.

Payout Policy

PLP has a straightforward approach to what they do with the cash the business generates. They pay a quarterly dividend, a small cash payment to shareholders, which raised 5% to $0.21 per share in early 2026. The payout ratio, meaning the share of earnings used to fund the dividend, sits at just 10-11%, so the dividend is easily affordable even in a down year. Beyond dividends, PLP buys back its own shares, which reduces the number of shares outstanding and makes each remaining share worth slightly more, share count fell from 4.94 million to 4.90 million over the past year. The rest of the cash is being directed toward building the new Poland manufacturing facility. What makes this approach notable is the balance PLP is not paying an outsized dividend, not borrowing fund buybacks, and not making large risky acquisitions. They are doing all three in modest, sustainable amounts simultaneously, funded entirely from the cash the business generates rather than from debt.

Valuation

At a P/E ratio of 38.82x as of April 2026, meaning investors are paying nearly $39 for every $1 of earnings PLP produces, the stock trades at a meaningful premium to its own historical average of roughly 14.6x, to Valmont at 21.9x, and is broadly in line with Hubbell at 31.9x. The premium reflects genuine investor enthusiasm for

grid modernization and the surge in power demand from AI data centers, both of which directly benefit PLP's energy segment.

The model uses a WACC - the minimum returns the business needs to generate to satisfy both debt holders and equity investors - of 8.2%, with a beta of 0.80 reflecting PLP's relatively low sensitivity to broad market swings. Revenue is assumed to grow 15% in 2026, stepping down to 6% by 2030, anchored to the 22% backlog increase and Poland and Spain capacity coming online. Operating margins are assumed to recover from today's compressed levels back toward the 2023 peak of 12.7% as tariff headwinds ease.

My base case implies a fair value of $295 per share, modestly above the current price of $283 - suggesting the stock is approximately fairly valued with upside if the growth thesis plays out. The bear case of $111 assumes utility spending slows and margins fail to recover. The bull case of $454 assumes the AI data center boom drives demand well above expectations and margins hit new highs. I am buying PLPC for the long-term compounding story, and the thesis hinges on whether the AI data center and grid modernization tailwinds hold for multiple years - which I believe they will.

Metric	PLPC	Hubbell (HUBB)	CommScope (COMM)	Valmont (VMI)
P/E Ratio (TTM)	30.7x	31.9x	4.8x*	21.9x
Forward P/E	29.1x	26.7x	8.2x*	18.3x
EV / EBITDA	12.3x	21.3x	8.7x*	12.2x
FCF Yield	3.9%	~3.0%	N/M*	~5.7%

Section 5: Key Drivers and Risk

Driver 1: Grid Modernization and AI Load

The U.S. power grid was built in the mid-20th century and wasn't designed for today's demand. AI data centers can consume as much electricity as small cities, EVs are adding new load to neighborhood power lines, and utility companies are forced to build new substations and transmission feeders to keep up with the demand. Every new substation upgraded transmission line requires the hardware PLP makes. Key thing to watch is whether federal infrastructure funding flows to projects on the ground – WEC Energy Group's $28 billion capital plan is a good example of multiyear utility spending.

Driver 2: International Footprint Expansion

PLP operates in over 30 countries, and shipping hardware internationally is expensive. Their solution is to manufacture closer to their customers. A new facility in Poland coming online in late 2026 positions them to serve European utilities without the cost and tariff exposure of shipping from the U.S., with Spain providing additional Southern European coverage. The watch item is how quickly these facilities ramp up, Poland isn't expected to hit full capacity until 2027 or 2028, but when it does, it should meaningfully improve PLP's cost position in their second-largest region.

Risk 1: Tariff and LIFO Volatility

Section 232 tariffs raise the cost of steel and aluminum. These tariffs cost PLP $15.1mm in cost for 2025. What makes this particularly painful is PLP's LIFO inventory accounting method — when raw material costs spike, those higher costs hit PLP's reported earnings almost immediately, causing margins to compress quickly even if the underlying business is healthy. And the LIFO accounting method cost them $9.9mm in 2025.

Risk 2: Poland and Spain Expansion

Opening new manufacturing facilities requires significant upfront capital before those facilities generate any revenue. Until the Poland facility reaches full capacity in 2027-2028, PLP is carrying the cost of building and staffing it while it is still ramping up. The execution risk is real - new facilities take time to reach the efficiency levels of established ones, and any delays push out the timeline for when this investment starts paying off

Risk 3: Currency Translation

PLP earns over half its revenue outside the U.S., meaning a strengthening dollar automatically reduces the value of international sales when converted back to dollars, a risk entirely outside management's control. In Q1 2025 alone, currency movements reduced reported sales by $4.4 million.

Risk 4: Acquisition Integration

PLP has made seven acquisitions since 2019 and the 10-K flags integration as an ongoing risk. Merging new companies into PLP's existing systems takes management time and attention, and expected benefits can take longer to materialize than planned, particularly when multiple deals are being digested simultaneously.

Conclusion

What does PLPC do

PLP makes the nuts and bolts of the power grid and internet infrastructure. When you see massive steel towers carrying high-voltage power lines across the country, PLP makes the hardware that clamps those cables to the towers and keeps them from swinging, vibrating, and eventually breaking. When a telecom company like AT&T or Verizon buries fiber optic cables underground to bring high-speed internet to a neighborhood, PLP makes the weatherproof housing that seals every connection point from dirt and water. The products are unglamorous and most people have never heard of them - but without them, the lights go out and the internet goes down.

What makes the company interesting

Earnings Distortion: PLP's reported profit numbers in 2025 look weaker than the actual business performance. Two one-time accounting items are dragging the numbers down - a $11.7 million pension termination charge, which is a cost from closing an old employee retirement plan that will never repeat, and $9 million in LIFO inventory charges caused by tariffs. Strip those out and the underlying business grew adjusted earnings by 16%. The headline number is misleading.

Structural Hedge: Right now, PLP manufactures a lot of its products in the U.S. and ships them to European customers - which means every time the U.S. government adds tariffs or trade policy shifts, PLP's costs go up. By building a new manufacturing plant in Poland and acquiring a facility in Spain, PLP is moving production closer to where European customers actually are. Once those facilities are running at full capacity, PLP won't

need to ship products across the Atlantic or worry as much about U.S. trade policy disrupting their European business. It's a permanent fix to a recurring problem.

Backlog Visibility: Backlog is the value of orders customers have already placed but PLP hasn't shipped yet - think of it as a window into future revenue. A 22% increase in backlog to $232.8 million means customers are placing orders faster than PLP can fill them, which signals that the period of slow demand in 2024 - when distributors were working through excess inventory rather than buying new product - is definitively over. Electric utilities are actively spending again, and the orders are already on PLP's books heading into 2026.

Looking Forward

PLP is riding two of the biggest infrastructure trends of the next decade - the electrification of everything and the global buildout of high-speed internet. AI data centers are consuming power at an unprecedented rate, 70% of U.S. transmission lines are over 25 years old and need replacing, and telecom companies are racing to bring fiber optic internet to every home and business. PLP makes the hardware that sits at the center of all of it. To capitalize on this, management is building a new state-of-the-art factory in Poland, expanding their Spanish facility by 250%, and just signed a multi-year partnership with FulcrumAir to develop robotic systems that install PLP hardware on live power lines -moving the company beyond just selling physical products into selling the installation expertise too. The risks are real but manageable - tariffs on steel and aluminum continue to compress margins in the short term, and integrating acquisitions like JAP Telecom takes management time and attention. There is also an interesting competitive opportunity emerging: CommScope, PLP's main rival in fiber optic hardware, is in the middle of a major restructuring, which could open the door for PLP to win customers that CommScope can no longer reliably serve. The overall picture is a well-run niche manufacturer positioned squarely in the path of multi-decade infrastructure spending - with near-term earnings noise from tariffs and one-time charges masking what is a genuinely strengthening business underneath.

Investment Recommendation

BUY - PLPC | Price Target: ~$297

Our DCF puts fair value right around the current price of $283, which means it's not a steal, but the upside story is what makes it worth buying. The company has a record backlog heading into 2026, new factories coming online in Poland and Spain, and it sits right in the middle of two major spending trends, grid upgrades and AI data centers. The 2025 earnings looked worse than the business actually was because of a one-time pension charge and tariff-related inventory costs. Strip those out and earnings actually grew 16%. The balance sheet has more cash than debt, the founder's family still owns 25% of the company, and once a utility starts using PLP hardware it almost never switches. Main risk is the stock doesn't leave much room for bad news at current prices - if we get a chance to buy closer to $240-250, we'd take it

SELL HALF - Matador (MTDR)

We want to keep some exposure to Matador because the midstream build-out is genuinely smart, owning your own pipelines and processing facilities gives you stable, predictable income that doesn't move with oil prices, and it cuts out the middleman. That's worth holding onto.

But we're cutting the position in half for three reasons. The Iran situation adds a layer of uncertainty to global gas supply that's hard to model and Matador carries all of that commodity price risk. On top of that,

management's focus on squeezing efficiency out of existing wells rather than going out and acquiring new acreage concerns me - growth usually comes from getting more land, not just getting better at what you already have. If Matador is more focused on optimizing current efficiency that gives a tradeoff of not acquiring new leasing rights that their competitor can capture. And Permian is getting crowded with bigger players who can operate cheaper. I still like parts of the story, but in my opinion, I think shortening the position is best for right now.

DCF Valuation

Scenario Summary

Scenario	WACC	g	FY26 Rev Gr	FY30 Margin	EV ($mm)	Price/sh
Bear	11.5%	1.5%	7.0%	9.5%	$501.7	$111
Base	8.2%	2.5%	15.0%	12.0%	**$1,406.1**	**$297**
Bull	7.5%	3.0%	18.0%	13.5%	$2,185.0	$454

Bear ~$111/sh: PLPC's customers (utilities) slow down spending because of tariffs and economic uncertainty, margins don't recover like we hoped, and the stock probably isn't worth $283.

Base ~$297/sh: Things play out pretty much as expected — the big order backlog converts to revenue, the new factories in Poland and Spain help margins improve, and the stock is roughly fairly valued where it is today.

Bull ~$454/sh: The AI data center boom and grid upgrades across the US keep demand way higher than normal for years, PLPC wins more market share, margins hit new highs, and the stock has real room to run.

Appendix

PLP Website

AlphaSense

Mordor Intelligence

Grand View Research

persistencemarketresearch

FactSet

Refinitiv

PLP 10-K

PLP 2025 Investor Presentation

Full DCF Model

Revenue & Margin Projections

	2025A	2026E	2027E	2028E	2029E	2030E
Revenue Growth	—	15.0%	12.0%	10.0%	8.0%	6.0%
Revenue ($mm)	$669.3	**$769.7**	**$862.1**	**$948.3**	**$1,024.2**	**$1,085.6**
EBIT Margin	8.2%	9.5%	10.5%	11.0%	11.5%	12.0%
EBIT ($mm)	$55.0	$73.1	$90.5	$104.3	$117.8	$130.3
D&A (% rev)	3.4%	3.5%	3.5%	3.5%	3.5%	3.5%
D&A ($mm)	$23.0	$26.9	$30.2	$33.2	$35.8	$38.0
CapEx (% rev)	6.0%	5.5%	5.0%	4.5%	4.0%	4.0%
CapEx ($mm)	$40.1	$42.3	$43.1	$42.7	$41.0	$43.4
ΔNWC (% of rev change)	—	1.5%	1.5%	1.5%	1.5%	1.5%
Change in NWC ($mm)	—	$1.5	$1.4	$1.3	$1.1	$0.9

Free Cash Flow to Firm (FCFF)

	2025A	2026E	2027E	2028E	2029E	2030E
NOPAT [EBIT × (1−t)]	$42.6	$56.6	$70.1	$80.7	$91.2	$100.8
+ D&A	$23.0	$26.9	$30.2	$33.2	$35.8	$38.0
− CapEx	($40.1)	($42.3)	($43.1)	($42.7)	($41.0)	($43.4)
− Change in NWC	—	($1.5)	($1.4)	($1.3)	($1.1)	($0.9)
FCFF ($mm)	**$33.3**	**$39.7**	**$55.7**	**$70.0**	**$84.9**	**$94.5**

Sensitivity: Implied Price by WACC × Terminal Growth

WACC ↓ / g →	1.5%	2.0%	2.5%	3.0%	3.5%	← g
7.0%	$318	$345	$377	$418	$470	
8.2%	$259	$276	**$297**	$320	$348	
9.2%	$224	$237	$251	$267	$286	
10.0%	$203	$212	$223	$236	$250	
11.0%	$180	$188	$196	$205	$216	
12.0%	$162	$168	$175	$182	$190	

Scenario Summary

Scenario	WACC	g	FY26 Rev Gr	FY30 Margin	EV ($mm)	Price/sh
Bear	11.5%	1.5%	7.0%	9.5%	$501.7	$111
Base	8.2%	2.5%	15.0%	12.0%	**$1,456.4**	**$297**
Bull	7.5%	3.0%	18.0%	13.5%	$2,185.0	$454